

European Automobiles & Components

**Continental AG**

Rating

**Market-Perform**

Price Target

 **CON.GR**

**73.00 EUR** (66.00 OLD)

6 July 2026



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## Continental: Road to tyre pureplay almost complete - ContiTech sale agreed at €4bn

On Friday Continental announced it has agreed to sell the for sale ContiTech segment to Lone Star Funds for a €4bn enterprise value, and also that it expects to return €2.5bn to shareholders through a special dividend and possibly combined with a share buyback. This price is better than our SOTP value of €3.3bn, and while initial investor expectations extended up to €5bn, is close to the existing buy-side consensus as we understand. Updating valuation increases our TP to €73, 4% below Friday's close which again supports our view there is limited upside with the RemainCo tyre asset already trading at a premium to peers.

**ContiTech sale agreed at €4bn EV.** Following headlines in the press on Friday afternoon, Continental issued a press release on Saturday confirming the agreement to sell ContiTech to Lone Star Funds for €4bn enterprise value. There is potentially a further €250m if performance earnouts are hit, and will generate initial cash proceeds of €3.1bn on closing after accounting for the lease/pension debt in the entity. This will allow Continental to propose a special dividend and potentially share buybacks, expected to be ~€2.5bn (16% of today's market cap). With the deal likely to close around YE 2026 provided all approvals are met, and board approval needed for this size of cash return at a general meeting, cash returns will most likely start in H2 2027.

**Now a tyre pureplay - our investment thesis.** As a pureplay tyre maker, Continental is an attractive asset with ~80% exposure to the consumer tyre segment and above average (but no longer industry leading) margins. It is more EU exposed than Michelin which skews more to the US, and historically has achieved strong cash generation and ROIC thanks to a very efficient production footprint. In our view its lower premium mix and historically volume-focused expansion model means lower pricing power than peers which has contributed to material margin decline since 2017, a period where industry volumes have shrunk and raw material inflation has accelerated. At today's share price the RemainCo is valued at ~8x EBIT, a small premium to Michelin which in our view looks fair.

### Investment Implications

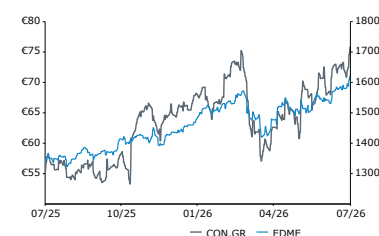
We update our SOTP valuation for the agreed ContiTech sale price which increases our TP, but remain Market-Perform seeing limited upside from today's level.

| Reported EPS | F25A   | F26E        | F27E        | Financials    | F25A    | F26E    | F27E    | CAGR   | Valuation Metrics | F25A   | F26E | F27E |
|--------------|--------|-------------|-------------|---------------|---------|---------|---------|--------|-------------------|--------|------|------|
| CON.GR (EUR) | (2.22) | <b>5.97</b> | <b>7.94</b> | Revenues (M)  | 19,666  | 18,568  | 19,347  | (0.8)% | Reported P/E (x)  | (34.1) | 12.7 | 9.5  |
| OLD          | --     | 6.00        | 7.89        | FCF (M)       | 870.00  | 926.58  | 1,209   | 17.9%  | EV/Adj EBITDA (x) | 5.8    | 6.7  | 5.9  |
|              |        |             |             | Adjusted EBIT | 2,035.0 | 2,123.7 | 2,472.5 | 10.2%  | EV/Adj EBIT (x)   | 10.4   | 9.9  | 8.5  |

Source: Bloomberg, Bernstein estimates and analysis.

|                                                      |                    |
|------------------------------------------------------|--------------------|
| Close Date                                           | 3 Jul 2026         |
| CON.GR Close Price (EUR)                             | 75.76              |
| Price Target (EUR)                                   | 73.00              |
| Upside/(Downside)                                    | (4)%               |
| 52-Week Range                                        | 77.50/51.98        |
| EDME                                                 | 1,622.79           |
| FYE                                                  | Dec                |
| Div Yield                                            | 3.6%               |
| Market Cap (EUR) (M)                                 | 15,152             |
| EV (EUR) (M)                                         | 21,111             |
| Performance                                          | YTD 1M 6M 12M      |
| Absolute (%)                                         | 11.5 7.2 10.9 34.8 |
| EDME (%)                                             | 10.4 5.1 7.9 21.2  |
| Relative (%)                                         | 1.1 2.2 2.9 13.6   |
| Source: Bloomberg, Bernstein estimates and analysis. |                    |

Price Performance, 1YR



## DETAILS

We update our SOTP valuation increasing the ContiTech segment to €4bn in-line with the agreed sale price (previously €3.3bn), and continue to value the tyre segment at 8.1x EBIT. Overall our TP increases to €73 vs €66 previously.

### EXHIBIT 1: Our updated SOTP valuation

| Continental AG SOTP                          | NTM+1 EBIT   | Multiple    | EV            | NTM+1 EBITDA | Implied Multiple |
|----------------------------------------------|--------------|-------------|---------------|--------------|------------------|
| Tyres                                        | 2,155        | 8.1x        | 17,453        | 2,986        | 5.8x             |
| ContiTech                                    | 525          | 7.6x        | 4,000         | 762          | 5.2x             |
| Central/HQ                                   | -118         | 8.0x        | -948          | -82          | 11.5x            |
| <b>EBIT</b>                                  | <b>2,561</b> | <b>8.0x</b> | <b>20,506</b> | <b>3,665</b> | <b>5.6x</b>      |
| 1y Forward Net Debt (incl. Leases & Pension) |              |             | (5,477)       |              |                  |
| Other Non-operating assets                   |              |             | 24            |              |                  |
| Minority Interests                           |              |             | (378)         |              |                  |
| <b>Target Market Cap</b>                     |              |             | <b>14,675</b> |              |                  |
| <b>Value Per Share (€)</b>                   |              |             | <b>73</b>     |              |                  |
| <i>Upside/Downside</i>                       |              |             | <i>-4%</i>    |              |                  |
| Price as of close (04/07/2026)               |              |             | <b>76</b>     |              |                  |

Source: Bloomberg, Company reports, Bernstein estimates & analysis

## Changes to model

Continental also hosted a briefing call with analysts last week (see our write up [here](#)) ahead of Q2 reporting where it gave an updated outlook on current trading. We incorporate these changes into our forecasts as well as refreshing FX rates, with overall very limited changes to our FY expectations.

### EXHIBIT 2: Continental: Summary Changes to Model

|                                  | Actual<br>2025 FY | OLD           |               |               | NEW           |               |               | Δ           |           |           |
|----------------------------------|-------------------|---------------|---------------|---------------|---------------|---------------|---------------|-------------|-----------|-----------|
|                                  |                   | 2026 FYE      | 2027 FYE      | 2028 FYE      | 2026 FYE      | 2027 FYE      | 2028 FYE      | 2026 FYE    | 2027 FYE  | 2028 FYE  |
| Tyre Total Revenue               | 13,798            | 14,094        | 14,796        | 15,092        | 14,040        | 14,869        | 15,167        | (0%)        | 0%        | 0%        |
| ContiTech Total Revenue          | 6,005             | 4,620         | 4,563         | 4,871         | 4,641         | 4,594         | 4,904         | 0%          | 1%        | 1%        |
| Tyres Adjusted EBIT              | 1,870             | 1,878         | 2,078         | 2,180         | 1,883         | 2,103         | 2,205         | 0%          | 1%        | 1%        |
| ContiTech Adjusted EBIT          | 293               | 384           | 496           | 572           | 373           | 486           | 562           | (3%)        | (2%)      | (2%)      |
| Central EBIT                     | -151              | -133          | -116          | -120          | -133          | -116          | -120          | 0%          | 1%        | 1%        |
| Tyres Margin                     | 13.6%             | 13.3%         | 14.0%         | 14.4%         | 13.4%         | 14.1%         | 14.5%         | 0.1%        | 0.1%      | 0.1%      |
| ContiTech Margin                 | 4.9%              | 8.3%          | 10.9%         | 11.7%         | 8.0%          | 10.6%         | 11.5%         | -0.3%       | -0.3%     | -0.3%     |
| <b>Group Revenue</b>             | <b>19,676</b>     | <b>18,602</b> | <b>19,243</b> | <b>19,843</b> | <b>18,569</b> | <b>19,347</b> | <b>19,950</b> | <b>(0%)</b> | <b>1%</b> | <b>1%</b> |
| <b>Group Adjusted EBIT</b>       | <b>2,035</b>      | <b>2,129</b>  | <b>2,458</b>  | <b>2,632</b>  | <b>2,124</b>  | <b>2,473</b>  | <b>2,647</b>  | <b>(0%)</b> | <b>1%</b> | <b>1%</b> |
| Margin                           | 10.3%             | 11.4%         | 12.8%         | 13.3%         | 11.4%         | 12.8%         | 13.3%         | 0.0%        | 0.0%      | 0.0%      |
| <b>Group Adjusted EBITDA</b>     | <b>3,621</b>      | <b>3,172</b>  | <b>3,544</b>  | <b>3,753</b>  | <b>3,166</b>  | <b>3,558</b>  | <b>3,769</b>  | <b>(0%)</b> | <b>0%</b> | <b>0%</b> |
| Margin                           | 18.4%             | 17.1%         | 18.4%         | 18.9%         | 17.0%         | 18.4%         | 18.9%         | 0.0%        | 0.0%      | 0.0%      |
| Reported Net Income              | -415              | 1,187         | 1,561         | 1,706         | 1,182         | 1,571         | 1,716         | (0%)        | 1%        | 1%        |
| Reported EPS - Diluted           | -2.2              | 6.0           | 7.9           | 8.6           | 6.0           | 7.9           | 8.7           | (0%)        | 1%        | 1%        |
| Net Debt (incl. pension)         | 6,472             | 5,801         | 5,145         | 4,565         | 5,798         | 5,164         | 4,583         | (0%)        | 0%        | 0%        |
| Free Cash Flow to Equity Holders | 870               | 923           | 1,234         | 1,356         | 927           | 1,209         | 1,362         | 0%          | (2%)      | 0%        |

Source: Company reports, Bernstein estimates & analysis

## APPENDIX - FINANCIAL FORECASTS

## EXHIBIT 3: Continental: Summary Model

|                                                      | 2020 FY | 2021 FY | 2022 FY | 2023 FY | 2024 FY | 2025 FY | 2026 H1E | 2026 H2E | 2026 FYE | 2027 FYE | 2028 FYE | 2029 FYE | 2030 FYE |
|------------------------------------------------------|---------|---------|---------|---------|---------|---------|----------|----------|----------|----------|----------|----------|----------|
| Income Statement                                     |         |         |         |         |         |         |          |          |          |          |          |          |          |
| Revenue                                              | 37,574  | 33,754  | 39,266  | 41,302  | 39,678  | 19,666  | 8,749    | 9,820    | 18,568   | 19,347   | 19,950   | 20,397   | 20,855   |
| Growth                                               | -14%    | -10%    | 16%     | 5%      | -4%     |         | -10%     | -1%      | -6%      | 4%       | 3%       | 2%       | 2%       |
| Organic Growth                                       | -13%    | 8%      | 13%     | 7%      | -2%     |         | -1%      | 4%       | 2%       | 5%       | 2%       | 2%       | 2%       |
| EBITDA (Underlying)                                  | 4,208   | 4,130   | 4,195   | 4,685   | 4,868   | 3,621   | 1,564    | 1,602    | 3,166    | 3,558    | 3,769    | 3,970    | 4,176    |
| EBITDA Margin                                        | 11%     | 12%     | 11%     | 11%     | 12%     | 18%     | 18%      | 16%      | 17%      | 18%      | 19%      | 19%      | 20%      |
| EBIT (Underlying)                                    | 1,333   | 1,900   | 1,951   | 2,517   | 2,694   | 2,035   | 1,048    | 1,076    | 2,124    | 2,473    | 2,647    | 2,813    | 2,985    |
| EBIT Margin                                          | 4%      | 6%      | 5%      | 6%      | 7%      | 10%     | 12%      | 11%      | 11%      | 13%      | 13%      | 14%      | 14%      |
| Finance Income                                       | 99      | 103     | 84      | 103     | 103     | 77      | 25       | 13       | 38       | 40       | 53       | 68       | 84       |
| Finance Cost                                         | (282)   | (180)   | (235)   | (419)   | (449)   | (352)   | (167)    | (171)    | (338)    | (342)    | (342)    | (342)    | (342)    |
| Other Finance/Exceptionals                           | (2,079) | (113)   | (1,243) | (583)   | (461)   | (1,791) | (179)    | (95)     | (274)    | (103)    | (101)    | (99)     | (97)     |
| Reported PBT                                         | -930    | 1,710   | 557     | 1,618   | 1,887   | -31     | 727      | 823      | 1,550    | 2,067    | 2,258    | 2,440    | 2,629    |
| Tax                                                  | 11      | (360)   | (445)   | (424)   | (689)   | (384)   | (212)    | (156)    | (368)    | (496)    | (542)    | (586)    | (631)    |
| Tax Rate (%)                                         | -1%     | -21%    | -80%    | -26%    | -37%    | 1239%   | -29%     | -19%     | -24%     | -24%     | -24%     | -24%     | -24%     |
| Reported Net Income (Group)                          | (919)   | 1,350   | 112     | 1,194   | 1,198   | (415)   | 515      | 666      | 1,182    | 1,571    | 1,716    | 1,854    | 1,998    |
| Reported EPS - Diluted                               | (4.81)  | 7.27    | 0.33    | 5.78    | 5.84    | (2.22)  | 2.60     | 3.37     | 5.97     | 7.94     | 8.67     | 9.37     | 10.10    |
| EPS Growth                                           | -21%    | -251%   | -95%    | 1636%   | 1%      | -138%   | 6%       | -172%    | -368%    | 33%      | 9%       | 8%       | 8%       |
| Dividend                                             | 0.00    | 2.20    | 1.50    | 2.20    | 2.50    | 2.70    |          |          | 2.99     | 3.97     | 4.33     | 4.68     | 5.05     |
| Payout Ratio                                         | 0%      | 30%     | 450%    | 38%     | 43%     | -121%   |          |          | 50%      | 50%      | 50%      | 50%      | 50%      |
| Segment Forecasts                                    |         |         |         |         |         |         |          |          |          |          |          |          |          |
| Revenue                                              |         |         |         |         |         |         |          |          |          |          |          |          |          |
| Tyres                                                | 10,159  | 11,808  | 14,005  | 13,958  | 13,861  | 13,798  | 6,575    | 7,465    | 14,040   | 14,869   | 15,167   | 15,470   | 15,779   |
| ContiTech                                            | 5,579   | 5,913   | 6,594   | 6,842   | 6,386   | 6,005   | 2,220    | 2,421    | 4,641    | 4,594    | 4,904    | 5,051    | 5,202    |
| EBIT                                                 |         |         |         |         |         |         |          |          |          |          |          |          |          |
| Tyres                                                | 1,344   | 1,729   | 1,842   | 1,887   | 1,902   | 1,870   | 946      | 937      | 1,883    | 2,103    | 2,205    | 2,311    | 2,421    |
| ContiTech                                            | 412     | 457     | 308     | 448     | 393     | 316     | 168      | 206      | 373      | 486      | 562      | 625      | 690      |
| Margin                                               |         |         |         |         |         |         |          |          |          |          |          |          |          |
| Tyres                                                | 13%     | 15%     | 13%     | 14%     | 14%     | 14%     | 14%      | 13%      | 13%      | 14%      | 15%      | 15%      | 15%      |
| ContiTech                                            | 8%      | 8%      | 5%      | 7%      | 6%      | 5%      | 8%       | 8%       | 8%       | 11%      | 11%      | 12%      | 13%      |
| By region                                            |         |         |         |         |         |         |          |          |          |          |          |          |          |
| Europe                                               | 46%     | 46%     | 46%     | 48%     | 49%     |         |          |          |          |          |          |          |          |
| North America                                        | 24%     | 23%     | 22%     | 22%     | 22%     |         |          |          |          |          |          |          |          |
| China                                                | 16%     | 15%     | 16%     | 15%     | 14%     |         |          |          |          |          |          |          |          |
| RoW                                                  | 14%     | 15%     | 16%     | 15%     | 15%     |         |          |          |          |          |          |          |          |
| Exceptional Adjustments (% adj EBIT)                 | 154%    | 3%      | 61%     | 26%     | 15%     | 87%     | 18%      | 9%       | 13%      | 4%       | 4%       | 4%       | 3%       |
| Condensed Balance Sheet                              |         |         |         |         |         |         |          |          |          |          |          |          |          |
| PP&E, Intangibles, Goodwill                          | 19,469  | 16,211  | 15,659  | 15,730  | 15,582  | 7,150   | 7,216    | 7,507    | 7,507    | 7,725    | 7,943    | 8,156    | 8,366    |
| Cash & Cash equivalents                              | 2,939   | 2,269   | 2,988   | 2,923   | 2,966   | 1,503   | 904      | 2,041    | 2,041    | 2,804    | 3,513    | 4,258    | 5,069    |
| Working Capital Assets                               | 11,591  | 12,083  | 14,497  | 13,846  | 13,217  | 6,295   | 6,415    | 6,181    | 6,181    | 6,345    | 6,488    | 6,633    | 6,782    |
| Other Assets                                         | 5,556   | 5,176   | 4,689   | 5,144   | 5,089   | 2,777   | 2,070    | 2,062    | 2,062    | 2,036    | 2,018    | 2,007    | 2,000    |
| Total Assets                                         | 39,555  | 35,739  | 37,834  | 37,642  | 36,854  | 17,725  | 16,606   | 17,791   | 17,791   | 18,909   | 19,962   | 21,055   | 22,217   |
| Debt (Including Leases post IFRS 16)                 | 7,334   | 6,261   | 7,695   | 7,170   | 6,909   | 6,826   | 6,643    | 6,707    | 6,707    | 6,835    | 6,964    | 7,092    | 7,220    |
| Net Pension Liability                                | 6,027   | 4,641   | 2,530   | 3,037   | 3,002   | 1,149   | 1,132    | 1,132    | 1,132    | 1,132    | 1,132    | 1,132    | 1,132    |
| Other Liabilities                                    | 13,555  | 12,194  | 13,874  | 13,310  | 12,144  | 5,595   | 4,485    | 4,940    | 4,940    | 4,998    | 5,055    | 5,093    | 5,132    |
| Total Liabilities                                    | 26,916  | 23,096  | 24,099  | 23,517  | 22,055  | 13,570  | 12,260   | 12,779   | 12,779   | 12,965   | 13,151   | 13,317   | 13,484   |
| Total Equity                                         | 12,639  | 12,643  | 13,735  | 14,125  | 14,798  | 4,158   | 4,345    | 5,011    | 5,011    | 5,943    | 6,810    | 7,736    | 8,732    |
| Net Debt (incl. pension)                             | 10,423  | 8,633   | 7,237   | 7,284   | 6,945   | 6,472   | 6,871    | 5,798    | 5,798    | 5,164    | 4,583    | 3,966    | 3,283    |
| Net Debt/EBITDA                                      | 2.5     | 2.1     | 1.7     | 1.6     | 1.4     | 1.8     | 4.4      | 3.6      | 1.8      | 1.5      | 1.2      | 1.0      | 0.8      |
| Financial Net Debt/EBITDA                            | 0.7     | 0.7     | 0.8     | 0.7     | 0.6     | 1.3     | 3.2      | 2.5      | 1.2      | 0.9      | 0.7      | 0.5      | 0.3      |
| Cashflow                                             |         |         |         |         |         |         |          |          |          |          |          |          |          |
| Adjusted EBITDA                                      | 4,208   | 4,130   | 4,195   | 4,685   | 4,868   | 3,621   | 1,564    | 1,602    | 3,166    | 3,558    | 3,769    | 3,970    | 4,176    |
| Cash exceptionals                                    | (998)   | (60)    | (66)    | (400)   | (202)   | (400)   | (125)    | (125)    | (250)    | (80)     | (80)     | (80)     | (80)     |
| Working Capital                                      | (579)   | (445)   | (734)   | (264)   | 223     | (231)   | (682)    | 721      | 39       | (106)    | (86)     | (108)    | (111)    |
| Net Capex                                            | (2,069) | (1,800) | (2,096) | (2,035) | (1,882) | (1,129) | (475)    | (818)    | (1,292)  | (1,304)  | (1,340)  | (1,370)  | (1,401)  |
| % sales                                              | 5.5%    | 5.3%    | 5.3%    | 4.9%    | 4.7%    | 5.7%    | 5.4%     | 8.3%     | 7.0%     | 6.7%     | 6.7%     | 6.7%     | 6.7%     |
| Lease Principal Repayment (IFRS 16)                  | 0       | (339)   | (324)   | (307)   | (318)   | (222)   | (108)    | (113)    | (221)    | (221)    | (221)    | (221)    | (221)    |
| Cash Taxes                                           | (886)   | (751)   | (597)   | (726)   | (785)   | (562)   | (170)    | (188)    | (358)    | (496)    | (542)    | (586)    | (631)    |
| Cash Finance Cost (incl. IFRS 16 interest component) | (169)   | (165)   | (152)   | (280)   | (346)   | (293)   | (105)    | (107)    | (212)    | (214)    | (214)    | (214)    | (214)    |
| JV Dividends & Interest Income                       | 130     | 134     | 115     | 149     | 144     | 86      | 29       | 27       | 56       | 71       | 74       | 81       | 92       |
| Free Cash Flow to Equity Holders                     | (363)   | 703     | 342     | 823     | 1,702   | 870     | (73)     | 1,000    | 927      | 1,209    | 1,362    | 1,473    | 1,611    |
| FCF % adj EBITDA                                     | -9%     | 17%     | 8%      | 18%     | 35%     | 24%     | -5%      | 62%      | 29%      | 34%      | 36%      | 37%      | 39%      |
| FCF % sales                                          | -1%     | 2%      | 1%      | 2%      | 4%      | 4%      | -1%      | 10%      | 5%       | 6%       | 7%       | 7%       | 8%       |
| FCF Yield                                            | -1.5%   | 3.8%    | 3.1%    | 5.3%    | 13.1%   | 6.4%    | -0.5%    | 6.6%     | 6.1%     | 8.0%     | 9.0%     | 9.7%     | 10.6%    |
| FCF Per Share                                        | (1.81)  | 3.51    | 1.71    | 4.11    | 8.51    | 4.35    | (0.37)   | 5.00     | 4.63     | 6.04     | 6.81     | 7.36     | 8.05     |
| FCF per share growth (%)                             | -134.9% | -293.6% | 94.5%   | 863.5%  | 106.9%  | -48.9%  | -82.8%   | -22.9%   | 6.5%     | 30.4%    | 12.7%    | 8.2%     | 9.4%     |
| ROIC (Bernstein Definition)                          | 1.0%    | 4.4%    | 5.5%    | 7.2%    | 7.5%    | 7.8%    | 0.0%     | 0.0%     | 14.4%    | 15.6%    | 16.3%    | 16.8%    | 17.4%    |
| M&A (net spend)                                      | (233)   | (218)   | 109     | 133     | (61)    | (9)     | 97       | 0        | 97       | 0        | 0        | 0        | 0        |
| Dividends                                            | 653     | 29      | 457     | 324     | 465     | 521     | 578      | 0        | 578      | 639      | 849      | 928      | 1,002    |
| Debt Repayment                                       | 2,558   | 200     | 0       | 1,250   | 725     | 602     | 0        | 0        | 0        | 0        | 0        | 0        | 0        |
| Buybacks                                             | 0       | 0       | 0       | 0       | 0       | 0       | 0        | 0        | 0        | 0        | 0        | 0        | 0        |
| Core Cash Uses                                       | 2,977   | 11      | 566     | 1,707   | 1,129   | 1,114   | 675      | 0        | 675      | 639      | 849      | 928      | 1,002    |
| % FCF                                                | -820%   | 2%      | 166%    | 207%    | 66%     | 128%    | -920%    | 0%       | 73%      | 53%      | 62%      | 63%      | 62%      |

Source: Company reports, Bernstein estimates &amp; analysis

## BERNSTEIN TICKER TABLE

| Ticker               | Rating | Cur | 3 Jul 2026       | Price<br>Target | TTM<br>Rel.<br>Perf. | Reported EPS |        |             |             | Reported P/E (x) |       |       |
|----------------------|--------|-----|------------------|-----------------|----------------------|--------------|--------|-------------|-------------|------------------|-------|-------|
|                      |        |     | Closing<br>Price |                 |                      | Cur          | 2025A  | 2026E       | 2027E       | 2025A            | 2026E | 2027E |
| CON.GR (Continental) | M      | EUR | 75.76            | <b>73.00</b>    | 13.6%                | EUR          | (2.22) | <b>5.97</b> | <b>7.94</b> | (34.1)           | 12.7  | 9.5   |
| OLD                  |        |     |                  | 66.00           |                      |              |        | 6.00        | 7.89        |                  |       |       |
| EDME                 |        |     | 1,622.79         |                 |                      |              |        |             |             |                  |       |       |

## PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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We value Continental on a SOTP. For the RemainCo, we put the Tyre business on 8.1x EV/EBIT, at a premium to Michelin based on higher margin expectations. We value the ContiTech business at €4bn which is the agreed sale price announced in July 2026, and the Central/HQ at the average RemainCo multiple. Together, these give our €73 target price.

**RISKS****Continental AG**

Upside risks to our price target include 1) The planned sale of the ContiTech unit attracts higher multiples than embedded SOTPs contain today; 2) Tyre margins return to industry leading levels and allow substantial increase in shareholder cash returns.

Downside risks to our target price include 1) Continental delevers slower than expected, driven by a lower ContiTech sales price or lower tyre earnings, which delays cash returns; 2) Continental does not deliver on the promised margin expansion in Tyres.

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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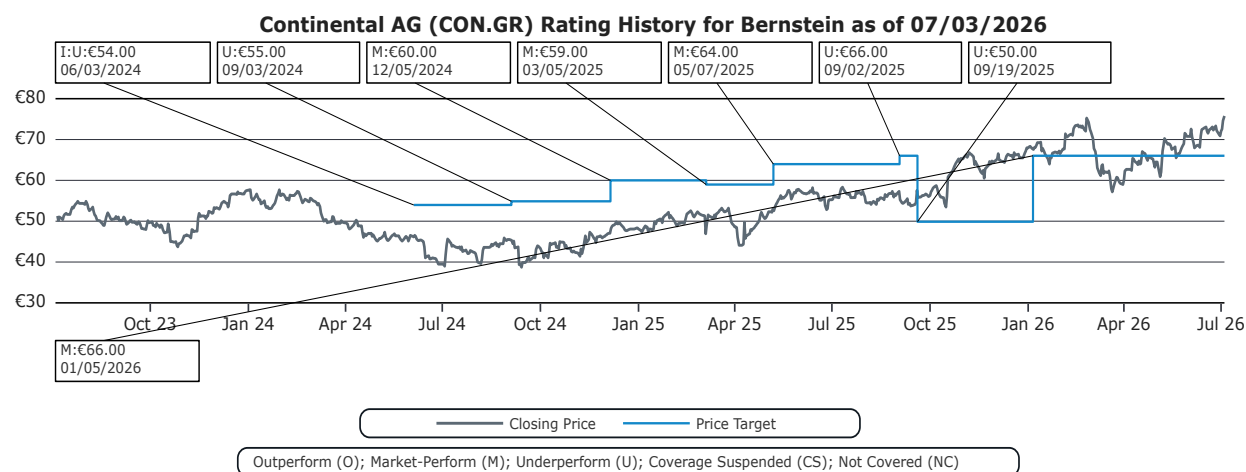
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| Market-Perform (Bernstein Brand)<br>Neutral (Autonomous Brand) | HOLD                                                    | 35.8%                      | 16.2%                             |
| Underperform                                                   | SELL                                                    | 13.1%                      | 13.6%                             |

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As of June 30, 2026. All figures are updated quarterly.

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